

✓ Step-by-Step Guide to Legally Start a Digital Business

1. Choose Your Business Model

Figure out what kind of digital business you're building:

- SaaS (subscription-based)
- Web or mobile app
- E-commerce or dropshipping store
- Info product or course
- Agency or digital service
- Marketplace or platform

This determines how you'll handle taxes, customer data, payment processors, etc.

2. Lock Your Name and Domain

- **Business name:** Make sure it's unique and not already trademarked. Use:
 - USPTO Trademark Search (US)
 - UK Intellectual Property Office
 - Or Google "[your country] trademark search"
 - **Domain name:** Use Namecheap, GoDaddy, or Google Domains. Lock it down ASAP.
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3. Pick a Legal Business Structure

Your structure affects liability, taxes, and perception:

- **Sole Proprietorship:** Fastest, but **you're personally liable**.
- **LLC (US) / Ltd (UK):** Best mix of protection and simplicity.
- **C-Corp / S-Corp (US):** For startups seeking investors and scaling.
- **Partnership:** Only if you're launching with someone else — use a **Partnership Agreement**, not a handshake.

Pro Tip: For 95% of digital entrepreneurs starting out, an **LLC** or **Ltd** is the sweet spot.

4. Register Your Business

- **US:** Register through your state's Secretary of State website. Each state has a different fee (\$50–\$300).
 - **UK:** Register with Companies House.
 - **Other countries:** Google "[your country] + register business online."
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5. Get a Tax ID / EIN

- **US:** Get a free EIN from the [IRS website](#).
- **UK:** You'll be issued a Unique Taxpayer Reference (UTR) when you register.
- **Elsewhere:** Look for the equivalent of a Business Tax ID or VAT number.

This is required for:

- Opening a business bank account
- Hiring contractors
- Filing taxes
- Setting up payroll (even if it's just you)

6. Open a Business Bank Account

This is non-negotiable. Separate your personal and business finances.

Recommended options:

- **US:** Mercury, Novo, Relay, Chase Business
- **UK:** Starling, Tide, Monzo Business, Barclays
- **International:** Wise Business, Revolut Business

7. Set Up Your Legal Documents

At minimum, you need:

- **Terms of Service**
- **Privacy Policy**
- **Refund Policy** (if applicable)
- **Cookie Consent Banner** (GDPR + CCPA compliant if global)
- **Contract Templates** for freelancers, partners, or beta testers

Tools to auto-generate these:

- [Termly](#)
- [Iubenda](#)
- [GetTerms](#)

8. Set Up Bookkeeping and Invoicing

Don't wait until tax season to get your finances sorted.

Use tools like:

- **QuickBooks, Xero, FreshBooks**
 - **Zoho Books, Wave, or Bonsai** for freelancers
 - **Stripe or Paddle** to handle payments + sales tax automatically
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9. Handle Taxes + Compliance

- If you're selling **digital goods** to international customers, be aware of **VAT** and **digital tax thresholds** (EU, UK, Australia, etc.)
 - In the US, register for **Sales Tax Nexus** if needed.
 - File quarterly taxes if self-employed.
 - Consider using:
 - **TaxJar** or **Quaderno** for tax automation
 - A local **CPA** for end-of-year filing
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10. Protect Your Business

Don't wait until it's too late:

- **Business insurance:** E&O, cyber liability, general liability
 - **Trademark** your brand name + logo if you plan to grow
 - Use **NDAs** and **contracts** with freelancers, devs, and collaborators
 - Enable **2FA everywhere** and use a **password manager**
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Bonus Advice for Digital Startups

- Don't run ads or go viral without having **privacy policies + terms** in place — you could get flagged or fined.
 - Start lean: Validate your idea fast before you overspend on legal fluff.
 - Revisit your legal + tax setup **once a year** as your business grows.
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Useful Tools at a Glance

Use Case	Tool
Legal docs	Termly, Iubenda, GetTerms
Register business	Stripe Atlas, Firstbase (US); Companies House (UK)
Contracts	Bonsai, PandaDoc, HelloSign
Payments	Stripe, Paddle, Gumroad
Accounting	Xero, QuickBooks, FreshBooks
Taxes	TaxJar, Quaderno, CPA
Bank account	Mercury, Wise, Revolut Business